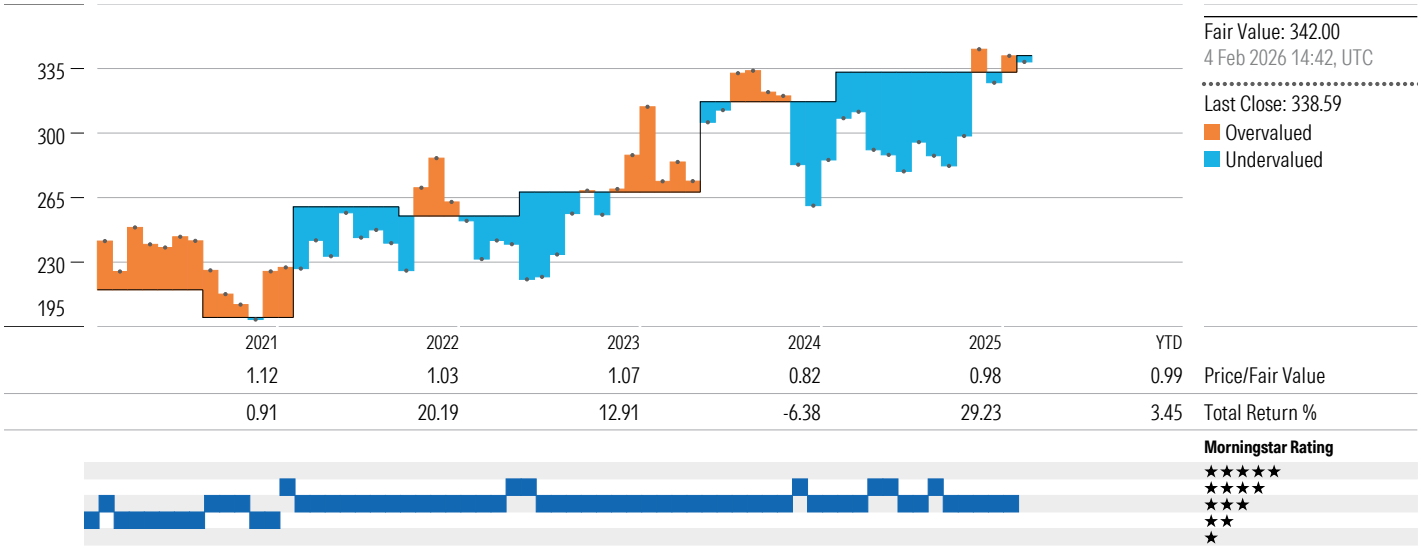
Amgen Inc AMGN ★★★ 4 Feb 2026 14:45, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
338.59 USD 3 Feb 2026	342.00 USD 4 Feb 2026 14:42, UTC	0.99	188.50 USD Bil 4 Feb 2026	Wide	Large Value	High	Exemplary	7 Jan 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.12	1.03	1.07	0.82	0.98	0.99	Price/Fair Value
	0.91	20.19	12.91	-6.38	29.23	3.45	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 03 Feb 2026. Last Close as of 03 Feb 2026. Fair Value as of 4 Feb 2026 14:42, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Amgen Earnings: Cardiovascular Focus More Apparent in Company's Growth Prospects

Analyst Note Karen Andersen, CFA, Director, 4 Feb 2026

Amgen reported 10% revenue and non-GAAP earnings per share growth for 2025. Guidance for 2026 implies 1%-4% top-line growth and 2% non-GAAP EPS growth at the $22.30 midpoint. The shares were relatively flat after hours on Feb. 3.

Why it matters: Amgen is absorbing the impact of biosimilar competition to bone-forming drug Prolia/Xgeva in 2026, while at the same time investing in a large phase 3 development program for obesity drug maritide, making it difficult to see significant growth in the near term.

- We're still encouraged by Amgen's broad foundation of growing drugs beyond Prolia/Xgeva, including cholesterol-lowering drug Repatha (up 36% in 2025), osteoporosis drug Evenity (34% growth), and asthma drug Tezspire (52% growth).

The bottom line: We're raising our fair value estimate for wide-moat Amgen to $342 per share from $333, despite the discontinuation of phase 3 drug candidates bemarituzumab (gastric cancer) and rocatinlimab (atopic dermatitis). We think the shares are relatively fairly valued at recent prices.

- We've increased our estimates for Repatha, based on the drug's ability to lower risk of heart attack by 36% in a broader primary prevention market in the Vesalius study. We're also encouraged by Amgen's ability to build on its cardiovascular focus with phase 3 Lp(a) therapy olpasiran.
- Maritide is in six phase 3 studies across obesity, heart failure, and sleep apnea, and Amgen plans to

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Sector
Healthcare

Industry
Drug Manufacturers - General

Business Description

Amgen is a leader in biotechnology-based human therapeutics. Flagship drugs include red blood cell boosters Epogen and Aranesp, immune system boosters Neupogen and Neulasta, and Enbrel and Otezla for inflammatory diseases. Amgen introduced its first cancer therapeutic, Vectibix, in 2006 and markets bone-strengthening drugs Prolia/Xgeva (approved 2010) and Evenity (2019). The acquisition of Onyx Pharmaceuticals bolstered the firm's therapeutic oncology portfolio with Kyprolis. Recent launches include Repatha (cholesterol-lowering), Aimovig (migraine), Lumakras (lung cancer), and Tezspire (asthma). The 2023 Horizon acquisition brought several rare-disease drugs, including thyroid eye disease drug Tepezza. Amgen also has a growing biosimilar portfolio.

move to phase 3 in diabetes as well after encouraging phase 2 results. We think this solidifies the company's cardiometabolic focus.

Business Strategy & Outlook Karen Andersen, CFA, Director, 4 Feb 2026

Amgen has its roots in providing supportive-care products to kidney disease and cancer patients, but it has expanded its portfolio to include innovative drugs in therapeutic areas ranging from cardiology to immunology. Despite headwinds from biosimilar and branded competition, Amgen's newer blockbusters like cholesterol-lowering drug Repatha defend its wide moat and keep free cash flow above 30% of sales in our forecast.

Amgen's first generation of biologics is coming under pressure, but newer drugs are keeping overall sales steady. Tougher labels and reimbursement had been affecting anemia drugs Epogen and Aranesp since safety concerns emerged in 2007, and the 2019 launch of Pfizer's biosimilar, Retacrit, is weighing on sales. Neutropenia drugs Neupogen and Neulasta are also in decline due to biosimilar launches. While Enbrel patents run to 2028, more-effective branded competitors are poised to continue to erode its market share. Prolia (osteoporosis) and Xgeva (fracture prevention in cancer patients) saw $6.6 billion in combined sales in 2024 but look vulnerable to biosimilars in 2026. To address these headwinds, Amgen has invested heavily in more-efficient manufacturing to defend margins and allow reinvestment in research and development and promotion in new areas, like cardiology. Amgen also purchased oral immunology drug Otezla, which fits well with the Enbrel franchise. Amgen's own large biosimilar portfolio and low manufacturing costs make it a viable biosimilar player, as well.

Amgen's newer drugs and its pipeline will be key to countering biosimilar versions of older drugs and branded competition. We see Repatha as a $4.5 billion opportunity despite price pressure, and asthma drug Tezspire (launched in the US in 2022, $3 billion Amgen sales opportunity) looks differentiated. The Horizon Therapeutics acquisition closed in 2023 and should boost midterm growth with thyroid eye disease drug Tepezza and autoimmune drug Uplizna. Pipeline programs in cardiology (olpasiran), obesity (maridebart cafraglutide), and oncology (Imdelltra) have generated promising data and could begin to support growth within the next few years.

Bulls Say Karen Andersen, CFA, Director, 4 Feb 2026

- Amgen's pipeline had been stale since the launch of Prolia/Xgeva, but cholesterol drug Repatha revived our enthusiasm for the firm's research engine. Blincyto and Tezspire also look differentiated.
- The acquisition of Decode gave Amgen the ability to identify potential new drug targets, validated by human genetics, and the firm continues to build on this database.
- Amgen's improved manufacturing efficiency not only will benefit gross margins but also could give the firm a cost advantage in the biosimilar market.

Bears Say Karen Andersen, CFA, Director, 4 Feb 2026

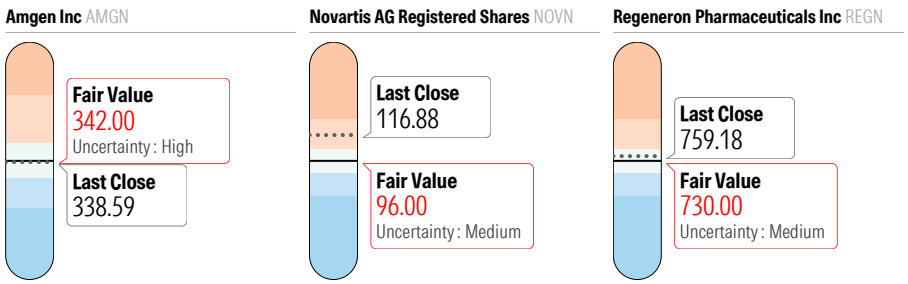
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Competitors



	Amgen Inc AMGN	Novartis AG Registered Shares NOVN	Regeneron Pharmaceuticals Inc REGN
Economic Moat	Wide	Wide	Narrow
Currency	USD	CHF	USD
Fair Value	342.00 4 Feb 2026 14:42, UTC	96.00 29 Oct 2025 11:12, UTC	730.00 30 Apr 2025 16:48, UTC
1-Star Price	530.10	129.60	985.50
5-Star Price	205.20	67.20	511.00
Assessment	Fairly Valued 4 Feb 2026	Overvalued 3 Feb 2026	Fairly Valued 3 Feb 2026
Morningstar Rating	★★★4 Feb 2026 14:45, UTC	★★3 Feb 2026 18:19, UTC	★★★3 Feb 2026 22:43, UTC
Analyst	Karen Andersen, Director	Jay Lee, Senior Equity Analyst	Jay Lee, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard
Price/Fair Value	0.99	1.22	1.04
Price/Sales	4.99	4.80	5.75
Price/Book	21.08	6.34	2.55
Price/Earning	23.79	16.93	17.13
Dividend Yield	2.81%	2.99%	0.46%
Market Cap	182.32 Bil	224.27 Bil	79.79 Bil
52-Week Range	261.43—353.25	81.10—117.76	476.49—821.11
Investment Style	Large Value	Large Blend	Mid Value

- Biosimilars have been on the market in Europe since 2007 but have had a larger impact on Amgen since 2019 as US exposure intensifies. Pressure on Prolia/Xgeva intensifies in 2026.
- Amgen's position in blood cancer is uncertain, as Kyprolis sales haven't lived up to expectations from the $10 billion Onyx acquisition, and Johnson & Johnson/Genmab's Darzalex and BCMA-targeted therapies are strong competition.
- Amgen lacks the focus of some of its biotech peers, with drugs targeting large markets like osteoporosis and cardiology and specialty markets like immunology and oncology.

Economic Moat Karen Andersen, CFA, Director, 4 Feb 2026

Amgen markets several blockbuster biologic therapies in oncology and immunology, giving it the intangible assets that form the foundation of its wide moat. We think the firm does face environmental, social, and governance risks, particularly related to potential US drug price-related policy reform

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(Amgen sees roughly three-fourths of its sales from the US market) and ongoing potential for product governance issues (including litigation). While we have factored these threats into our analysis, we don't see them as material to our valuation or moat rating. Highly profitable biologics like Prolia and Enbrel continue to support very strong free cash flows for the firm, generally above 30% of sales. We expect Amgen to see relatively steady free cash flow margins, and returns on invested capital should remain above its cost of capital for the foreseeable future. We think newly launched products and higher rates of productivity for its late-stage pipeline—both branded and biosimilar—will allow the firm to maintain strong ROICs. With new lower-cost manufacturing technology and aggressive cost-cutting efforts, pricing and volume pressure from biosimilar competition should not weigh heavily on long-term margins.

One of the original biotechs, Amgen launched innovative recombinant proteins for anemia and neutropenia, beginning with Epogen in 1989 and Neupogen in 1991. Longer-acting products Aranesp and Neulasta were launched in 2001-02, just as the firm decided to acquire Immunex and bring immunology drug Enbrel into its portfolio. The launch of bone-strengthening drug Prolia/Xgeva in 2010 led to $6.6 billion in 2024 sales prior to biosimilar competition in 2025.

Amgen has largely continued to grow despite steady regulatory and competitive headwinds, including safety issues weighing on anemia drugs Epogen and Aranesp since 2007, as well as generic (biosimilar) competition in anemia and neutropenia (against Epogen, Neupogen, and Neulasta). Prolia/Xgeva remains Amgen's single-largest product at roughly 18% of sales in 2025, but we expect two fairly significant patent cliffs for Amgen: Prolia/Xgeva in 2025 and Enbrel and immunology drug Otezla in 2028.

Countering these pressures are several newer products that continue to bolster Amgen's moat. Newer products like cholesterol-lowering drug Repatha (approved in 2015) and immunology drug Tezspire (approved in 2021) are poised to be top products by 2030, in addition to oncology drug Lumakras (approved in 2021). Despite Repatha's slow start, we expect PCSK9 antibodies as a class could generate $7 billion in peak sales, with significant potential for volume growth to more than counter additional pressure on price as well as new competitive threats (like Novartis' new drug Leqvio and Merck's oral enlicitide). Osteoporosis drug Evenity was approved in 2019, and while cardiovascular side effects could limit broad uptake, the drug's bone-forming mechanism of action complements Amgen's Prolia.

In addition, Amgen's own biosimilar portfolio is growing as it launches against Roche's and AbbVie's mature oncology and immunology franchises. We think Amgen's experience navigating regulatory, clinical, and manufacturing hurdles, as well as its strong reputation for its branded therapies, is helping the firm position itself as a leading biosimilar player.

Regarding pipeline productivity, we think Amgen has turned a corner, and we think it will be able to

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maintain its top line, despite pressure on current blockbusters, through at least 2030. Amgen historically has had a high failure rate for its pipeline, particularly its oncology pipeline between 2011 and 2014. Amgen's decision to return brodalumab rights to Astra due to higher rates of suicide was also a hit to its late-stage pipeline in 2015. Current leading pipeline programs include small-cell lung cancer drug tarlatamab (approved as Imdelltra in 2024), cardiovascular drug olpasiran (in phase 3), and phase 3 obesity drug candidate maridebart cafraglutide. Beyond Imdelltra, Amgen is beginning to amass a pipeline of oncology therapies, with heavy investment in bispecific therapies that could more effectively harness the immune system to fight specific forms of cancer. However, this pipeline is still relatively early and has seen mixed data, and we therefore incorporate moderate sales into our valuation model from these pipeline candidates.

Fair Value and Profit Drivers Karen Andersen, CFA, Director, 4 Feb 2026

We're raising our fair value estimate to $342 per share from $333 following solid 2025 growth for some of Amgen's strongest-growing products (osteoporosis drug Evenity, cholesterol drug Repatha, cancer drug Blincyto, and asthma drug Tezspire), as well as solid data for Repatha extending its benefit into the primary prevention setting.

We assume a 60% probability of maritide's approval and probability-adjusted sales of $8 billion in 2034, largely in obesity. We see Prolia's patent expiration in 2025 as the firm's biggest patent cliff this decade, and model Otezla's patent expiration in 2029.

The Horizon acquisition is relatively neutral to our valuation, but it brings a portfolio of rare-disease and immunology drugs that we expect could see combined sales of nearly $8 billion by 2030.

For the Inflation Reduction Act, we assume Medicare negotiations could reduce sales of Otezla and Repatha prior to patent expirations.

We expect peak sales of combined Prolia/Xgeva at $6.6 billion (in 2024), Repatha at $4.5 billion in 2028, and Evenity around $2.6 billion in 2029. We see Amgen's biosimilar portfolio growing to more than $5 billion in sales by the end of our 10-year explicit forecast period. We include $2 billion in peak Imdelltra sales and $3 billion in peak Tezspire sales. Beyond these products, we only model billion-dollar sales for maridebart cafraglutide and three other pipeline products: cardiology drug olpasiran (partnered with Arrowhead), prostate cancer drug xaluritamig, and AMG 193 (multiple cancers).

We assume a 6.9% cost of capital. We rate the systematic risk surrounding Amgen shares as below average; our 7.5% cost of equity assumption aligns our capital cost assumptions with the returns that equity investors are likely to demand over the long run. We assume a 5.8% pretax cost of debt to reflect a more normalized long-term rate environment. We assume a 17% tax rate for Amgen in the long run, higher than the company's recent tax rates, which we believe covers some of the risk from ongoing tax

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disputes with the IRS.

Risk and Uncertainty Karen Andersen, CFA, Director, 4 Feb 2026

We're confident that Amgen will be capable of defending its bottom line through a key period of weakness for legacy products, as cost-cutting and manufacturing innovation help to trim operating costs. However, growth will depend on the firm's ability to help several newer franchises (such as Repatha, Aimovig, and Evenity) and newer launches (Lumakras and Tezspire) navigate payer restrictions and drive strong demand growth. Less cost-effective medicines like Tezspire and Enbrel could be more vulnerable to payer pressure down the road. We therefore assign this diversified biotech a High Morningstar Uncertainty Rating.

Our rating for Amgen is not materially affected by environmental, social, and governance risks; we see access to basic services (tied to drug pricing) as the biggest ESG risk that the firm needs to manage. Amgen sees three-fourths of its sales from the US, increasing its exposure to US policy changes. We assume a more than 50% probability of Amgen seeing future costs related to product governance ESG risks (such as off-label marketing or litigation related to side effects) and therefore model annual legal costs at 1% of non-GAAP net income, which has an immaterial effect on our valuation.

Beyond existing biosimilar and reimbursement headwinds, Amgen faces Prolia/Xgeva biosimilar competition, which began in 2025. In addition, the $10 billion acquisition of Onyx (cancer drug Kyprolis) proved expensive, and the value of the $28 billion acquisition of Horizon depends on whether the firm can maintain strong growth for drugs currently holding monopoly positions.

Capital Allocation Karen Andersen, CFA, Director, 4 Feb 2026

We assign Amgen an Exemplary Capital Allocation Rating. The rating reflects our belief that Amgen possesses a sound balance sheet, exceptional investment outlook, and appropriate shareholder distributions.

Amgen's roughly $45 billion in net debt (at the end of 2025) was built despite strong free cash flows from the business, as management prioritized distributions (in the form of share repurchases and, since 2011, a dividend) as well as large acquisitions, including the $10.4 billion Onyx acquisition in 2013, the $13.4 billion acquisition of immunology drug Otezla (from Celgene) in 2019, and the $28 billion Horizon acquisition in 2023. However, Amgen holds a net debt/EBITDA ratio below 3, which we think is manageable as we model steady cash flows over the next several years.

We have a positive view on Amgen's history of investments and our outlook for future investment. While we see Amgen's history of acquisitions and collaborative deals as relatively neutral to ROICs, meaning that they don't appear to create or destroy significant economic value, we think they improve the firm's competitive positioning and moat sources. Onyx gave Amgen standing in the oncology market, creating a platform for further expansion of the firm's oncology pipeline, including future drugs using bispecific

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technology from Micromet and Xencor. The Decode acquisition gave Amgen access to a human genetics database, supporting drug discovery and development. We also see the acquisition of Otezla as adding value through execution, as Amgen is leveraging marketing costs with its established Enbrel salesforce. Amgen should be able to leverage its immunology expertise and global infrastructure as it maximizes the potential of the portfolio of rare-disease therapeutics from Horizon, as well.

We think Amgen's current level of dividend payments (roughly $4 billion annually) and share repurchases (below dividend payments since the Horizon deal) is appropriate, as it maximizes returns to shareholders but still leaves some free cash flow remaining to repay debt as it comes due or support M&A. Share-repurchase prices averaged $230 in 2020, above our fair value estimate that year, but historical repurchases have also come in below our fair value estimate, giving us a neutral view on Amgen's ability to add or destroy value with share repurchases.

Analyst Notes Archive

Amgen Earnings: Increasing Confidence in Cardiovascular Portfolio and Pipeline Karen Andersen, CFA,Director,5 Nov 2025

Amgen reported 12% revenue growth driven by double-digit growth from 16 products, but higher operating expenses and a higher tax rate drove a smaller 1% increase to non-GAAP EPS. Management slightly raised 2025 top-line and bottom-line guidance.Why it matters: Amgen is facing pricing pressure for older immunology drug Enbrel as well as impending biosimilar competition to bone-building drug Prolia/Xgeva, and having a diverse portfolio of newer drugs should allow Amgen's top-line growth to stay in positive territory. We highlight strong demand for cholesterol-lowering drug Repatha (40% growth), osteoporosis drug Evenity (36% growth), asthma drug Tezspire (48% growth), and rare-disease drug Uplizna (46% growth), as well as solid launches for lung cancer drug Imdelltra and biosimilar Pavblu. Slower earnings growth had a good culprit: research and development spending was up 31% year over year, largely due to expansion of the phase 3 program for cardiometabolic drug maritide, although Amgen does not expect this level of increase beyond 2025. The bottom line: We're maintaining our $333 fair value estimate for wide-moat Amgen and see shares as slightly undervalued, as we think investors still underestimate the potential sales for maritide. We think Amgen's cardiometabolic portfolio looks particularly strong, led by double-digit growth for Repatha and phase 3 programs for maritide (obesity, heart failure, and sleep apnea) and olpasiran (cardiovascular disease). Coming up: We expect several catalysts for Amgen for the remainder of 2025, starting with details for a positive study of Repatha in preventing cardiovascular events (for individuals who have not had a prior heart attack or stroke). We also expect phase 2 data for maritide that could help Amgen determine whether the drug could be given quarterly during a weight loss maintenance phase, which could help raise compliance rates with long-term therapy.

Amgen Earnings: Multiple Strong Growth Drivers Countering Enbrel, Prolia Headwinds Karen

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Andersen, CFA,Director,6 Aug 2025

Amgen reported 9% revenue growth and 21% non-GAAP EPS growth in the second quarter. Management raised its 2025 revenue guidance by $500 million at the midpoint to $35 billion-$36 billion and increased non-GAAP EPS by $0.15 at the midpoint to $20.20-$21.30.Why it matters: Amgen is beginning to face biosimilar competition to its biggest drug, bone-strengthening drug Prolia/Xgeva, but we expect that solid double-digit growth across other therapeutic areas will help the company stay in positive revenue growth territory in 2026. For example, in the quarter, rare disease drug Uplizna (from Horizon), cholesterol-lowering drug Repatha, and osteoporosis drug Evenity all supported growth and countered biosimilar pressure on Prolia/Xgeva and pricing pressure on mature immunology drug Enbrel. The bottom line: We're maintaining our $333 fair value estimate for wide-moat Amgen, and we think shares look slightly undervalued. Despite investor appreciation of Amgen's strengthening portfolio, we think there is still skepticism surrounding maritide's place in the obesity market. Amgen's research and development spending (expected to grow by at least 20% on a non-GAAP basis in 2025) is outpacing our 6.2% revenue growth forecast in 2025, as new trials start for drug candidates, including obesity drug maritide and cardiovascular drug olpasiran. We think earnings growth could briefly dip into negative territory in 2026 with a full year of biosimilar pressure on Prolia/Xgeva as well as continuing large phase 3 studies for several programs. Coming up: Amgen is expecting maritide data readouts in the second half of 2025, including phase 2 diabetes data and updated phase 2 obesity data. New phase 3 studies in cardiovascular disease, heart failure, and sleep apnea could support further sales beyond our $9 billion sales estimate by 2034.

Amgen: We Still See Obesity Market Niche for Maritide Despite Tolerability Struggles Karen Andersen, CFA,Director,24 Jun 2025

Amgen announced detailed tolerability data from phase 1 and phase 2 studies of obesity drug candidate maritide, and management disclosed the design of its two ongoing phase 3 obesity studies. Why it matters: Amgen is one of the potential challengers to incumbents Novo Nordisk and Eli Lilly, and investors have already built potential for maritide into valuations. We think shares fell in reaction to the data and trial design as investors are frustrated with Amgen's difficulty in nailing down a dosing regimen to lock in a solid tolerability profile. Amgen's two steps of dose escalation have brought vomiting rates down, but they are still roughly 20%-25%. We expect that the three-step dose escalation built into phase 3 will bring tolerability to a level more in line with key competitor Zepbound (midteens vomiting), and with strong tolerability data following the first doses, we expect the drug's monthly (or less frequent) dosing could be popular. The bottom line: We're maintaining our $333 fair value estimate for wide-moat Amgen following the firm's maritide update. We continue to see a 2028 launch and $9 billion in 2034 revenue as a realistic base-case scenario, given strong efficacy (in line with Lilly's Zepbound) and differentiated dosing. These estimates imply that Amgen could build a roughly 5%

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MORNINGSTAR®

Amgen Inc AMGN ★★★ 4 Feb 2026 14:45, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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market share in a $200 billion GLP-1 market by 2034, and we think upside still exists, with potential in additional indications or maintenance dosing for patients initiating on other therapies. We also expect additional phase 2 data for maritide in the second half of the year that could give us more insight into its ability to move to quarterly dosing.

Amgen Earnings: On Track to Meet 2025 Guidance Following Broad-Based Growth in First Quarter
Karen Andersen, CFA,Director,2 May 2025

Amgen reported 9% top-line growth and 24% non-GAAP EPS growth in the first quarter, and management maintained full-year guidance for mid-single-digit growth in each measure, at the midpoint. Why it matters: Amgen's strong start to 2025 reflects double-digit sales growth for multiple drugs across therapeutic areas, but Prolia/Xgeva biosimilars and increasing investment in phase 3 programs like MariTide (obesity) and olpasiran (cardiovascular disease) will weigh on full-year growth. We're impressed with strong growth for cancer drug Blincyto (52% growth), asthma drug Tezspire (65%), cholesterol drug Repatha (27%), and osteoporosis drug Evenity (29%). Despite Amgen's growing investment in research and development (we expect roughly 20% of sales in 2025 will go toward R&D), we think Amgen can maintain non-GAAP operating margins in the mid-40s over the next several years. The bottom line: We're maintaining our $333 fair value estimate for wide-moat Amgen, as the firm is exhibiting broad-based growth from its branded and biosimilar portfolio. We're increasingly optimistic about Amgen's ability to further improve returns on invested capital as it advances Horizon's rare disease drug portfolio, including Tepezza (upcoming Europe launch) and Uplizna (recent IgG4 approval and potential myasthenia gravis approval later in 2025). Amgen's biosimilar strength appears solid, with impressive launches of Pavblu (Eylea) and Wezlana (Stelara) and ongoing trials for biosimilar versions of oncology drugs like Bristol's Opdivo and Merck's Keytruda as well as Roche's multiple sclerosis drug Ocrevus. Coming up: Upcoming phase 3 data later in 2025 includes Repatha cardiovascular outcomes data for a broader group of patients, more studies for atopic dermatitis drug candidate rocatinlimab, and two gastric cancer trials for drug candidate bemarituzumab. We expect additional phase 2 data for MariTide in second-half 2025 that could give us more insight into potential quarterly dosing.

Amgen Earnings: Raising Our Fair Value by 5% on Solid 2025 Guidance and Diversified Growth Prospects Karen Andersen, CFA,Director,5 Feb 2025

Amgen reported $33.4 billion in revenue (19% growth, boosted by the Horizon acquisition) and $19.84 in non-GAAP earnings per share (6% growth) for 2024. 2025 guidance implies roughly 3%-7% top-line growth and 1%-7% non-GAAP EPS growth.Why it matters: Amgen's performance in 2024 was in line with our estimates, but 2025 guidance is ahead of our prior outlook, largely due to biosimilar denosumab competition (bone drug Prolia and cancer drug Xgeva) coming later in the year than we had anticipated. Denosumab constituted about 20% of Amgen's 2024 revenue, so the rest of the portfolio

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and pipeline should be pressured when biosimilar competition begins later this year. Research and development expenses are growing faster than sales, but other operating expense cost controls from automation and steady non-GAAP gross margins should allow Amgen to maintain non-GAAP operating margins in the mid-40s.The bottom line: We're raising our fair value estimate for wide-moat Amgen to $333 from $317 following the solid outlook as well as encouraging 2024 growth for several products, including cholesterol-lowering drug Repatha, osteoporosis drug Evenity, and Humira biosimilar Amjevita. We now forecast more than 4% revenue growth in 2025 and flat sales in 2026, assuming Amgen faces the brunt of biosimilar denosumab competition that year.Coming up: Amgen is moving its obesity drug candidate into phase 3 in the first half of 2025. We now assume that this implies phase 3 data in late 2026 and a 2028 launch (previously assumed a 2027 launch), with probability-weighted peak sales around $9 billion (using a 60% probability of approval). Amgen expects phase 3 data later this year for atopic dermatitis drug rocatinlimab and gastric cancer drug bemarituzumab and also data for Repatha in primary prevention. Bears say: A clinical hold for phase 1 obesity drug candidate AMG 513 highlights the uncertainty around Amgen's ability to diversify and expand its obesity portfolio beyond maritide.

More Trump Healthcare Nominations Largely Aligned With Kennedy Karen Andersen, CFA,Director,2 Dec 2024

Following President-elect Donald Trump's Nov. 14 announcement of the nomination of Robert F. Kennedy Jr. as secretary of the US Department of Health and Human Services, there have seen several more nominations for leadership in the 13 HHS divisions, including Dr. Mehmet Oz (Centers for Medicare and Medicaid Services) on Nov. 19, Dr. Marty Makary (US Food and Drug Administration) and Dr. Dave Weldon (Centers for Disease Control and Prevention) on Nov. 22, and Dr. Jay Bhattacharya (National Institutes of Health) on Nov. 26. Overall, we think these selections show a consistent theme of introducing potential disruptive forces to US healthcare, although their lack of experience and the power of career staffers in these agencies could serve to blunt any significant proposed changes. We continue to see obesity drugs and vaccines as areas of potential scrutiny, although without any clarity on proposals, we're not making any changes to our fair value estimates following these announcements.As discussed in our Nov. 18 note, we think biopharma industry tailwinds under the new Trump administration could include repealing the Medicare negotiation provision in the Inflation Reduction Act, less Federal Trade Commission scrutiny of acquisitions, as well as continued lower corporate taxes. However, Kennedy's skepticism of vaccine and obesity drug benefits could erode public trust and we think his team could slow the approval of new drugs and vaccines and de-emphasize CDC vaccine guidelines. Views on obesity drugs will likely be front and center in 2025, given the proposed rule from the Biden administration to expand obesity drug coverage in Medicare and Medicaid and the upcoming announcement of the 2027 list of negotiated drugs (which is likely to include Novo Nordisk's semaglutide). The Trump administration would need to finalize the rule and we expect Kennedy will be

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conflicted over whether to discourage reliance on weight loss drugs or reduce obesity drug costs significantly.

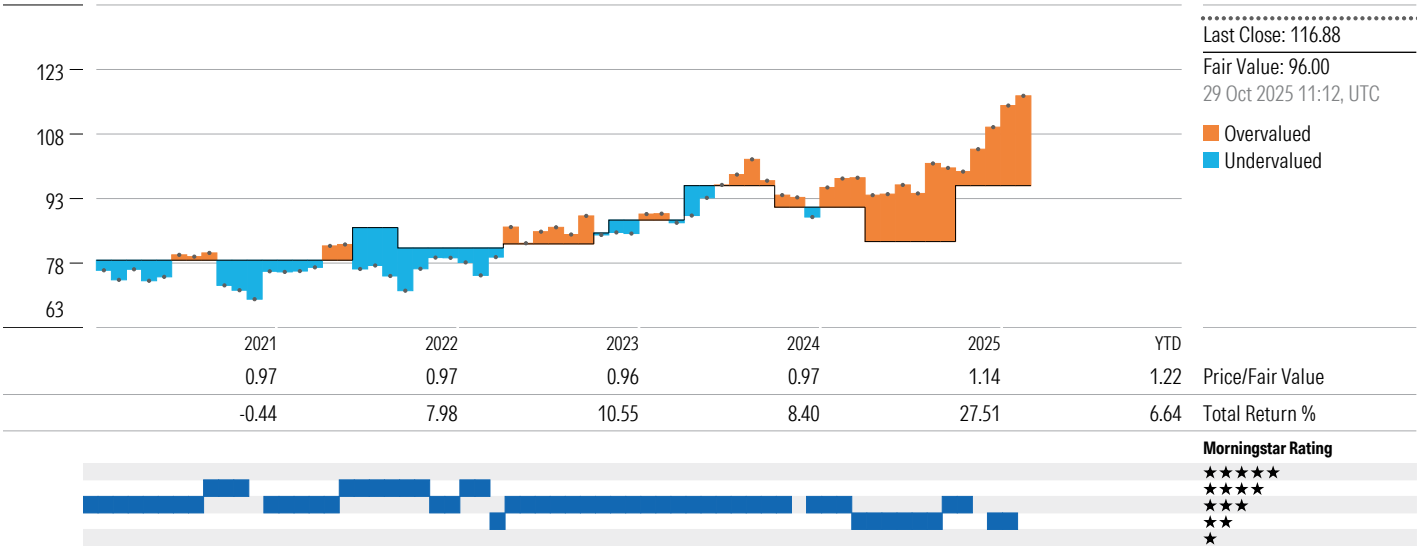
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Competitors Price vs. Fair Value

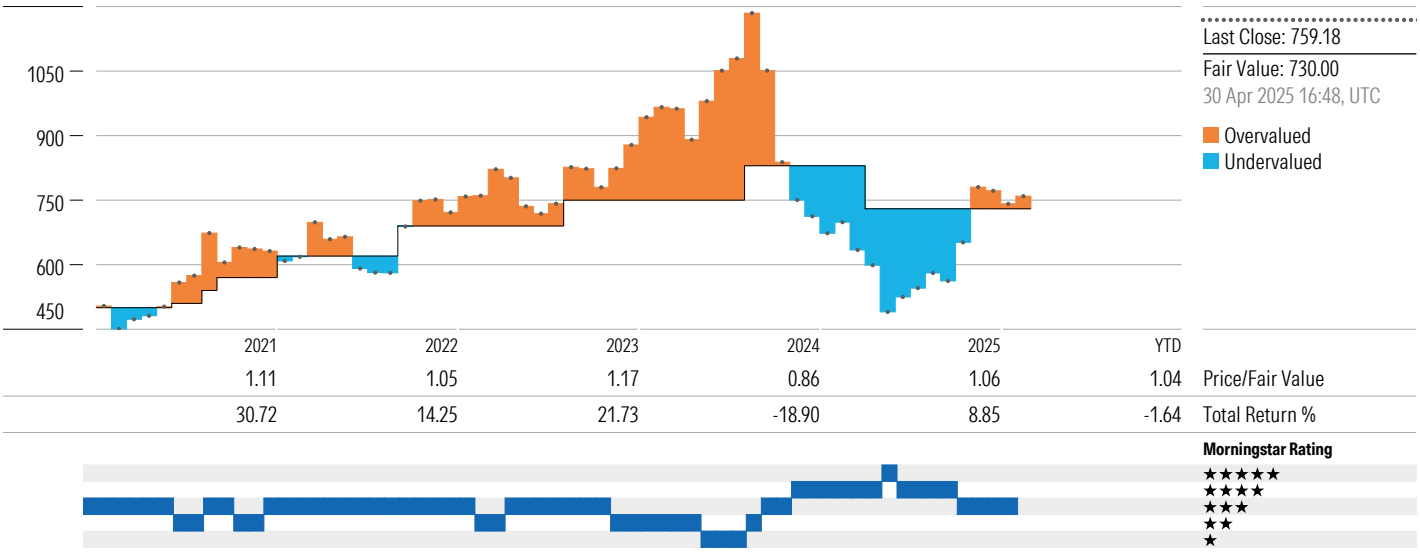
Novartis AG Registered Shares NOVN



	2021	2022	2023	2024	2025	YTD	
	0.97	0.97	0.96	0.97	1.14	1.22	Price/Fair Value
	-0.44	7.98	10.55	8.40	27.51	6.64	Total Return %

Total Return % as of 03 Feb 2026. Last Close as of 03 Feb 2026. Fair Value as of 29 Oct 2025 11:12, UTC.

Regeneron Pharmaceuticals Inc REGN



	2021	2022	2023	2024	2025	YTD	
	1.11	1.05	1.17	0.86	1.06	1.04	Price/Fair Value
	30.72	14.25	21.73	-18.90	8.85	-1.64	Total Return %

Total Return % as of 03 Feb 2026. Last Close as of 03 Feb 2026. Fair Value as of 30 Apr 2025 16:48, UTC.

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Morningstar Valuation Model Summary

Financials as of 03 Feb 2026

Fiscal Year, ends 31 Dec	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029
Revenue (USD Mil)	26,323	28,190	33,424	36,751	37,476	37,042	40,050	41,717
Operating Income (USD Mil)	10,069	8,776	7,506	10,392	12,303	12,365	14,630	16,157
EBITDA (USD Mil)	12,983	11,968	12,850	15,613	17,053	17,202	18,551	19,425
Adjusted EBITDA (USD Mil)	12,983	11,968	12,850	15,613	17,053	17,202	18,551	19,425
Net Income (USD Mil)	6,552	6,717	4,090	7,711	8,235	8,524	10,428	11,723
Adjusted Net Income (USD Mil)	9,570	10,034	10,734	11,837	11,771	11,980	13,084	13,819
Free Cash Flow To The Firm (USD Mil)	8,110	-25,535	11,946	10,336	13,045	12,624	12,612	13,537
Weighted Average Diluted Shares Outstanding (Mil)	541	538	541	542	537	530	523	516
Earnings Per Share (Diluted) (USD)	12.11	12.49	7.56	14.23	15.33	16.09	19.94	22.70
Adjusted Earnings Per Share (Diluted) (USD)	17.69	18.65	19.84	21.84	21.91	22.62	25.02	26.76
Dividends Per Share (USD)	7.95	8.64	9.13	9.52	10.09	10.70	11.34	12.02

Margins & Returns as of 03 Feb 2026

	3 Year Avg	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029	5 Year Avg
Operating Margin %	28.7	38.3	31.1	22.5	28.3	32.8	33.4	36.5	38.7	33.0
EBITDA Margin %	—	49.3	42.4	38.5	42.5	45.5	46.4	46.3	46.6	—
Adjusted EBITDA Margin %	—	49.3	42.4	38.5	42.5	45.5	46.4	46.3	46.6	45.5
Net Margin %	20.3	24.9	23.8	12.2	21.0	22.0	23.0	26.0	28.1	29.9
Adjusted Net Margin %	34.7	36.4	35.6	32.1	32.2	31.4	32.3	32.7	33.1	32.4
Free Cash Flow To The Firm Margin %	-8.0	30.8	-90.6	35.7	28.1	34.8	34.1	31.5	32.5	32.2

Growth & Ratios as of 03 Feb 2026

	3 Year CAGR	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029	5 Year CAGR
Revenue Growth %	8.8	1.3	7.1	18.6	10.0	2.0	-1.2	8.1	4.2	4.5
Operating Income Growth %	-7.0	7.8	-12.8	-14.5	38.5	18.4	0.5	18.3	10.4	16.6
EBITDA Growth %	7.0	17.6	-7.8	7.4	21.5	9.2	0.9	7.9	4.7	4.8
Adjusted EBITDA Growth %	5.2	17.6	-7.8	7.4	21.5	9.2	0.9	7.9	4.7	8.6
Earnings Per Share Growth %	-9.8	17.8	3.1	-39.5	88.2	7.8	5.0	24.0	13.8	24.6
Adjusted Earnings Per Share Growth %	-9.8	27.5	5.4	6.4	10.1	0.3	3.2	10.7	6.9	24.6

Valuation as of 03 Feb 2026

	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029
Price/Earning	—	15.4	13.1	15.5	15.5	15.0	13.5	12.7
Price/Sales	—	5.5	4.2	5.0	4.9	4.9	4.6	4.4
Price/Book	—	24.9	24.0	21.8	20.8	19.7	15.9	12.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	15.0	14.9	—	—	—	—	—
EV/EBIT	—	20.5	25.5	—	—	—	—	—
Dividend Yield %	—	3.0	3.5	2.8	3.0	3.2	3.4	3.6
Dividend Payout %	44.9	46.3	46.0	43.6	46.1	47.3	45.3	44.9
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 03 Feb 2026

Fiscal Year, ends 31 Dec	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029
ROA %	6.9	4.5	8.6	9.7	10.1	12.3	13.8	14.1
ROE %	107.8	69.6	91.5	94.2	93.7	94.0	83.0	69.8
ROIC %	12.5	10.6	14.3	16.4	16.3	19.0	20.3	20.4

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Debt/Capital %	20.8	21.8	29.5	23.1	21.1	20.1	19.1	17.9
Assets/Equity	17.8	15.6	15.6	10.6	9.8	9.2	7.6	6.0
Net Debt/EBITDA	1.9	2.5	4.2	2.8	2.3	2.2	1.9	1.6
Total Debt/EBITDA	2.6	3.3	5.0	3.6	3.0	2.9	2.6	2.3
EBITDA/ Net Interest Expense	5.8	285.0	4.9	150.1	7.4	8.1	9.1	10.1

Forecast Revisions as of 4 Feb 2026	2025		2026		2027	
Prior data as of 5 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	342.00	338.16	—	—	—	—
Revenue (USD Mil)	36,751	33,424	37,476	36,065	37,042	36,247
Operating Income (USD Mil)	10,392	7,506	12,303	9,776	12,365	11,625
EBITDA (USD Mil)	15,613	12,850	17,053	15,070	17,202	16,440
Net Income (USD Mil)	11,837	10,734	11,771	11,278	11,980	11,343
Earnings Per Share (Diluted) (USD)	14.23	7.56	15.33	14.08	16.09	14.73
Adjusted Earnings Per Share (Diluted) (USD)	21.84	19.84	21.91	20.88	22.62	21.18
Dividends Per Share (USD)	9.52	9.13	10.09	9.52	10.70	10.09

Key Valuation Drivers as of 03 Feb 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	6.9
Long-Run Tax Rate %	17.0
Stage II EBI Growth Rate %	3.3
Stage II Investment Rate %	25.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 03 Feb 2026

	USD Mil
Present Value Stage I	92,153
Present Value Stage II	49,437
Present Value Stage III	83,373
Total Firm Value	**224,963**
Cash and Equivalents	11,973
Debt	60,099
Other Adjustments	-891
Equity Value	**175,946**
Projected Diluted Shares	541
Fair Value per Share (USD)	**342.00**

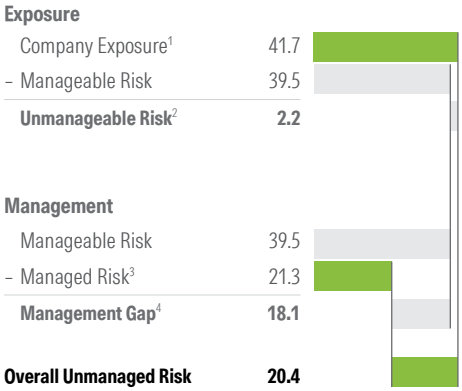
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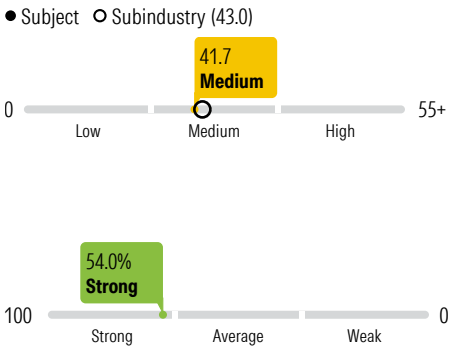
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338.59 USD 3 Feb 2026	342.00 USD 4 Feb 2026 14:42, UTC	0.99	188.50 USD Bil 4 Feb 2026	Wide	Large Value	High	Exemplary	7 Jan 2026 06:00, UTC

ESG Risk Rating Breakdown

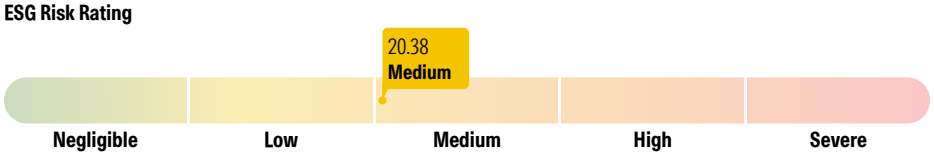




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Jan 08, 2026. Sustainalytics Subindustry: Biotechnology. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 54.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Amgen Inc	41.7 | Medium	0	55+	54.0 | Strong	100	0	20.4 | Medium	0	40+
Bristol-Myers Squibb Co	39.6 | Medium	0	55+	66.2 | Strong	100	0	14.6 | Low	0	40+
Regeneron Pharmaceuticals Inc	36.9 | Medium	0	55+	55.0 | Strong	100	0	17.6 | Low	0	40+
Novartis AG	45.7 | Medium	0	55+	82.0 | Strong	100	0	10.9 | Low	0	40+
Moderna Inc	39.1 | Medium	0	55+	55.2 | Strong	100	0	18.5 | Low	0	40+

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Appendix

Historical Morningstar Rating

Amgen Inc AMGN 4 Feb 2026 14:44, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★★	★★

Novartis AG Registered Shares NOVN 3 Feb 2026 18:19, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
—	★★★	★★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Regeneron Pharmaceuticals Inc REGN 3 Feb 2026 22:43, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★★★	★★	★	★	★	★★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

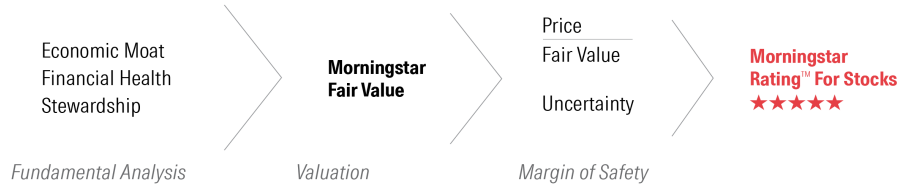
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

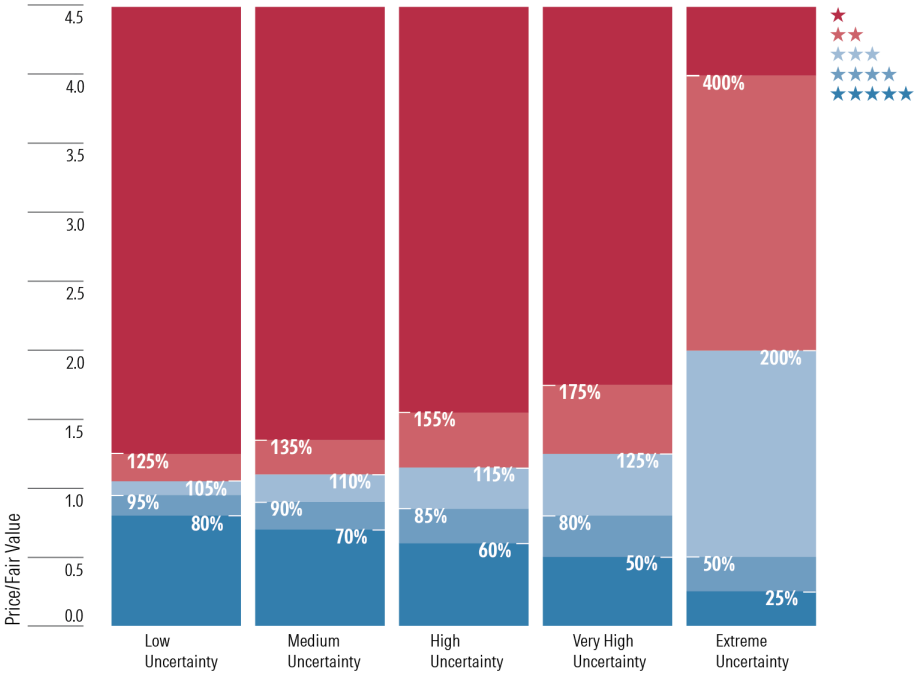
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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